

Pricing Power - Colgate - Palmolive (India) Ltd.

	FY2015	FY2016	FY2017	FY2018	FY2019
Revenue	3,981 Cr	3,868 Cr	3,981 Cr	4,187 Cr	4,462 Cr
Direct Costs	2,027 Cr	2,150 Cr	2,183 Cr	2,225 Cr	2,321 Cr
Gross Profit Margin (%)	49.08%	44.42%	45.16%	46.86%	47.98%

(in Rs. unless stated otherwise)

So, it is seen that Colgate India can increase prices over and above their raw material's costs without impacting their sales. Gross profit margins can be used as an indicator to check pricing power in any industry. If GPM can be increased with ease, the industry or firm has price power.

